

REITS - REAL ESTATE INVESTMENT TRUSTS

Investing in real estate is a very cumbersome process and often overwhelming for many. Additionally, it requires a large amount to invest in real estate. However, if done well, the rewards are commendable. A solution to overcome the previously mentioned problems for those who wish to invest in real estate without considerable effort would be to invest in Real Estate Investment Trusts (REITs). REITs are similar to mutual funds but are for real estate. REITs can be bought like ordinary shares in the market. In India, there is only three REITs at the time of this writing – Embassy Office Parks. However, we hope to see more shortly.

Just like mutual funds, in REITs too, a large number of individuals pool their money and fund managers invest the same in income-generating real estate. Securities Exchange Board of India (SEBI) mandates that REITs need to distribute at least 90% of their yield to investors as dividends. The capital appreciation of the real estate is reflected in the stock price of REITs. Currently, Rs. 50,000 is the minimum amount that needs to be invested in REITs. Also, illiquidity is a major factor when it comes to real estate. REITs are much more liquid than a typical real estate property.

